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India: Yes Bank Moratorium, 2020¹

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Abstract

By December 2019, Yes Bank's capital levels had dropped below the Reserve Bank of India's (RBI) mandated threshold, as the bank was facing a combination of deposit withdrawals, losses from extraordinary credit provisions, and overexposure to stressed sectors. On March 5, 2020, India's Ministry of Finance (MoF) and the RBI placed Yes Bank under a 30-day moratorium that restricted most banking functions and limited deposit withdrawals to INR 50,000 per person (USD 663). The purpose of this moratorium was to allow the RBI time to design a plan of reconstruction or amalgamation for Yes Bank to allow depositors limited access to their funds and to secure the management. The moratorium and related restrictions were terminated prematurely on March 18, 2020, after the MoF approved a restructuring plan recommended by the RBI. Yes Bank received an ad hoc capital injection of INR 100 billion from the government-owned State Bank of India (SBI) and a consortium of private banks, and the RBI provided an emergency liquidity facility of INR 600 billion as a part of the restructuring. Depositors did not experience losses. By June 2023, Yes Bank's deposit base had rebounded to INR 2.2 trillion, compared with INR 1.1 trillion in March 2020.

Keywords: bank holiday, deposits, moratorium, RBI, restructuring, Yes Bank

¹ This case study is part of the Yale Program on Financial Stability (YPFS) selection of New Bagehot Project modules considering bank holiday and fund suspension programs. A survey of all the cases in this series (Wiggins et al. 2025) and the cases underlying it are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/>.

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Overview

This case study describes the depositor withdrawal limits under a moratorium imposed by India’s Ministry of Finance (MoF) on Yes Bank in March 2020, on the recommendation of the Reserve Bank of India (RBI) to allow for the restructuring of the bank (RBI 2020c). This approved restructuring plan included an ad hoc capital injection of 100 billion rupees (INR; USD 1.3 billion),³ and an emergency liquidity facility of INR 600 billion. (For details on the capital injection, see Gupta [2024a]; for details on the restructuring, see Gupta [2024b].)

Founded in 2004, Yes Bank grew rapidly and by March 31, 2019, was India’s fourth-largest private sector bank with INR 3.8 trillion (USD 50.5 billion) in assets (YESB 2019). In the mid-2010s, the RBI and private-sector analysts identified serious governance weaknesses, exposure to large troubled nonbank financial companies, and high levels of delinquent loans. Yes Bank lost nearly half its market value after a major borrower, IL&FS, defaulted on its loans in September 2018, sparking “India’s Lehman moment” (Parkin 2019a; Parkin 2019c).

In January 2019, the RBI refused to extend the tenure of Yes Bank founder and CEO Rana Kapoor because of concerns about corporate governance and inadequate reporting of nonperforming loans (NPLs); Kapoor was later arrested for embezzlement, abuse of power, and accepting kickbacks from corporate borrowers (Jagannath 2020). In March 2019, the bank appointed a new CEO to guide capital raising and clean-up efforts (Fortune 2019).

Key Terms

Purpose: India’s MoF placed Yes Bank in a moratorium to arrest the “rapidly deteriorating financial position” of Yes Bank and “take immediate action in the public interest and particularly in the interest of the depositors” (MoF 2020b, 5)	
Announcement Date	March 5, 2020
End Date	Initial: April 3, 2020 Final: March 18, 2020
Legal Authority	Section 45 of the Banking Regulation Act, 1949 (10 of 1949)
Administrators	MoF after recommendation from the RBI
Communication and Disclosure	The focus was to state concern for depositors and that Yes Bank was open for business after the moratorium ended
Permitted Withdrawals	Withdrawal limits of INR 50,000 per depositor during the moratorium period; depositors did not experience losses
Outcomes	Moratorium lasted 13 days; Yes Bank deposits grew from INR 1.1 trillion in 2020 to INR 2.2 trillion in 2023 during the rescue plan
Notable Features	Depositors did not experience any losses; moratorium was lifted earlier than expected

³ Per Yahoo Finance, USD 1 = INR 75.4 as of March 31, 2020.

In October 2019, a combination of events led to liquidity outflows at Yes Bank, including deposit outflows, invocation of the founder's pledged shares (when a lender sells pledged shares), and a breach in liquidity coverage ratio (LCR) requirements because of the financial distress of a state-owned small cooperative bank called Punjab and Maharashtra Co-operative Bank (YESB 2020b).

Following defaults by two major borrowers that lifted its NPLs to over USD 2.3 billion, Yes Bank reported in the same month that it was in “advanced discussions” to raise about USD 1.2 billion of capital from foreign and domestic investors (Parkin 2019c; YESB 2021). According to the account of a leading business journalist, the deal did not go through, partly because the RBI declined the investors' request for an official guarantee against all losses on Yes Bank's stressed loan book (Bandyopadhyay 2020). Yes Bank's shares lost 80% of their value between January and September 2019 due to concerns of bad loans and capital adequacy ratio (Parkin 2019b). Yes Bank was able to raise INR 19.3 billion in qualified institutional placement in August 2019 to address the bank's problem of NPLs (YESB 2022). The delay in capital raising led to a downgrade by credit ratings agencies (YESB 2020b).

In December 2019, Yes Bank reported a quarterly loss of INR 185 billion and a common equity Tier 1 (CET1) ratio of 0.62%, significantly breaching the RBI mandated level of 7.4%. This unexpected loss was the result of extraordinary credit provisions in the second half of 2019, related to slippages in the corporate loan book in the power and infrastructure sectors. Yes Bank's deposits had declined from INR 2.1 trillion in September 2019 to INR 1.7 trillion by December 2019. Yes Bank's deposit base continued to decline to INR 1.1 trillion by March 31, 2020 and to INR 1.0 trillion by May 2, 2020 (YESB 2020b).

On March 3, 2020, RBI Governor Shaktikanta Das asserted the RBI's commitment to banking sector stability and said that it would “never allow a major bank to you know . . . [fail]” (RBI 2020f). On March 5, 2020, the MoF placed Yes Bank under a moratorium⁴ and limited withdrawals to INR 50,000 per customer for 30 days (Gupta 2024b; MoF 2020a). On March 6, 2020, the RBI released a draft resolution plan and announced a capital injection by a consortium of banks, with the government-owned State Bank of India (SBI) as the leading “investor bank,” receiving 48.2% of equity in the reconstructed bank (RBI 2020a). On March 13, 2020, as part of the final restructuring plan, the MoF stated that the SBI and other investors were willing to participate in the capital injection and that the moratorium would end on March 18, 2020. Withdrawal restrictions ended with the moratorium, but the reconstructed board was to continue for one year (MoF 2020a). Yes Bank successfully formed an alternate board after restructuring on July 15, 2022, as per clause 5(7) of the RBI's plan (YESB 2023a). (For details, see Appendix A; Gupta [2024a]; and Gupta [2024b])

As of March 14, 2020, eight investors (SBI, HDFC, ICICI Bank, Axis Bank, Kotak Mahindra Bank, Bandhan Bank, Federal Bank, IDFC First Bank) provided a recapitalization of INR 100 billion to Yes Bank with a three-year lock-in period (For details, see Gupta [2024a]) (YESB

⁴ A moratorium in India is similar to receivership in the United States, in that the troubled financial institution is protected to maximize value of the assets of the institution in an orderly manner. (See Key Design Decision No. 3, Legal Authority, for details.)

2021). On the same day, Yes Bank took a permanent write-down of INR 84 billion in Additional Tier 1 (AT1) capital (YESB 2020b). As shown in Figure 1, Yes Bank had INR 152 billion of CET1 capital as of March 31, 2020, which included the INR 100 billion capital injection and INR 84 billion AT1 write-down. This implies that Yes Bank had negative equity capital before RBI's rescue plan.

The RBI also extended a INR 600 billion credit line to Yes Bank to meet the needs of depositors, promising that none would lose money. Yes Bank borrowed INR 500 billion on the credit line and repaid the amount by September (MS 2020). Governor Das stated that the RBI would provide the needed liquidity support and that "never in the history of banks [in India] have depositors lost money" (The Tribune 2020).

On July 23, 2020, Yes Bank successfully raised INR 148.7 billion from a follow-on public offering (FPO) by issuing 12.5 million shares at INR 12 to INR 13 per share; this was not mentioned in the RBI's reconstruction plan (Mint 2020b; YESB 2021). SBI also participated in the FPO by investing INR 17.6 billion (part of the INR 148.7 billion raise). As a result of the FPO, the SBI's position was reduced to 30% as of March 31, 2021, from 48.2% as of March 30, 2020 (SBI 2021). In August 2020, Moody's upgraded Yes Bank's long-term credit rating to B3 with a stable outlook (YESB 2023b). In March 2021, Yes Bank Chairman Sunil Mehta reported that the bank's CET1 ratio had improved from 6.3% in 2020 to 11.2% in 2021 (see Figure 1) (YESB 2021). Mehta stated that Yes Bank's rescue was the first bank-led restructuring plan in India's history (YESB 2020b).

Figure 1: Yes Bank: Capital Adequacy Ratios

Capital Adequacy Ratios	March 31, 2019	March 31, 2020	March 31, 2021	March 31, 2022	March 31, 2023
Total Capital Ratio (CAR)	16.5%	8.5%	17.5%	17.4%	17.9%
CET 1	8.4%	6.3%	11.2%	11.6%	13.3%
Tier I Capital	11.3%	6.5%	11.3%	11.6%	13.3%
Tier II Capital	5.2%	2.0%*	6.2%	5.8%	4.7%

* Tier II ratio was restricted to 2% as per RBI guidelines since the Tier I ratio was below minimum threshold; RBI mandates a minimum CET1 ratio of 7.375% and Tier1 capital ratio of 8.875%.

(in INR billion)					
Capital	March 31, 2019	March 31, 2020	March 31, 2021	March 31, 2022	March 31, 2023
Common Equity Tier I (CET1)	257	152	257	269	325
Additional Tier I (AT1)	88	3 ^A	3	- ^B	- ^B
Tier I Capital	345	155	260	269	325
Tier II Capital	160	0	143	135	114
Total Capital	505	155	403	404	439

^A RBI's draft reconstruction plan on March 6, 2020, required the permanent write down of INR 84 billion of AT1 capital, issued in 2016 and 2017, by Yes Bank; the case is being tried in the Indian Supreme Court.

^B Yes Bank issued INR 2.8 million of AT1 bonds in December 2013, but it has been excluded from regulatory capital as per a RBI guidance for FY23 and FY22.

Sources: YESB 2020b; YESB 2021; YESB 2022; YESB 2023b.

In March 2022, Yes Bank reported a successful return to full-year profitability for the first time since the restructuring plan in March 2020 (YESB 2022). In July 2022, J.C. Flowers, a private equity firm, agreed to purchase a stressed loan pool from Yes Bank for INR 480 billion

(MC 2022). Later in July, two private equity groups agreed to purchase a 10% equity stake in the bank for INR 89 billion, reducing the SBI's stake to 26% (Sen 2022).

The three-year lock-in period for the eight financial institutions that participated in the recapitalization ended on March 13, 2023 (see Appendix A). Based on market prices at that date, these institutions recorded 70% returns on their investment. The RBI asked the private investors to sell their stakes gradually to avoid destabilizing the bank (Gopakumar 2023). As of March 31, 2023, Yes Bank's CET1 ratio improved to 13.3% from 6.3% in 2020 (see Figure 1) (SBI 2022; YESB 2023b).

On May 9, 2025, Yes Bank's board approved the sale of 20% of the bank's equity to Sumitomo Mitsui Banking Corporation (SMBC), a Japanese financial institution. As part of the transaction, pending RBI approval as of this writing, SMBC will purchase a 13.2% stake from SBI and a combined 6.8% stake from the rest of the private bank consortium for INR 21.5 per share of Yes Bank (SBI 2025; YESB 2025). This represents a 115% return on investment for the bank consortium on its residual holding of Yes Bank's equity and a marked end to the resolution.

Figure 2: Timeline of the Yes Bank Rescue

Date	Event
December 2019	Yes Bank reports a quarterly loss of INR 185 billion and a CET1 ratio of 0.62%, with capital requirements breaching the RBI mandated level of 7.375%. Yes Bank reports a loss due to extraordinary credit provisions, especially slippages in corporate loans to the power and infrastructure sectors
March 2020	Yes Bank's deposits decrease 54% since September 2019 to INR 1.1 trillion
March 3, 2020	RBI Governor Das commits to banking sector stability
March 5, 2020	RBI identifies Yes Bank for a draft rescue and capital infusion plan, due to the continuing outflow of liquidity and inability to present a credible revival plan. The RBI removes and appoints an interim board of Yes Bank and limits withdrawals to INR 50,000 per depositor for 30 days
March 6, 2020	Yes Bank's share prices fall to an all-time low of INR 5 per share and close at INR 16 per share after the RBI's rescue plan
March 13, 2020	The MoF, along with the RBI, submits a final resolution plan for Yes Bank including SBI as the lead investor at INR 10 per share
March 14, 2020	A consortium of eight banks (SBI, HDFC, ICICI Bank, Axis Bank, Kotak Bank, Bandhan Bank, Federal Bank, IDFC First Bank) commits to a capital infusion of INR 100 billion into Yes Bank
March 18, 2020	The MoF lifts the moratorium and limitation on depositor withdrawals for Yes Bank
March 2020	RBI provides a INR 600 billion special liquidity facility to Yes Bank

July 2020	Yes Bank conducts a successful capital raise via a follow-on public offering for INR 15 billion; its CET1 ratio improves to 13.4% from 6.6% at the end of June 2020
August 2020	Moody's upgrades Yes Bank's long term credit rating to B3 from Caa1 with outlook stable
September 2020	Yes Bank repays the RBI's special liquidity facility in full for INR 500 billion

Source: Author's analysis.

Summary Evaluation

In July 2020, RBI Governor Das called the resolution of Yes Bank “timely and successful” and “non-disruptive” of the broader financial system. Governor Das said the RBI’s decision to intervene when Yes Bank’s net worth was still positive allowed for quick action, helped protect depositors, and revived the bank under its new owners (Das 2020).

A 2021 study concluded that the RBI and the Ministry of Finance’s joint restructuring plan helped put Yes Bank back on track. The authors noted that the regulators may have provided too much time to the former management of Yes Bank, and that the crisis uncovered a need for stricter supervision and speedier intervention by the RBI. The authors also found that Yes Bank’s troubles occurred owing to misrepresentation of the bank’s balance sheet by auditors, which implies the need for better selection and appointment of auditors for banks by the regulators (Akhtar, Alam, and Khan 2021).

RBI Governor Subba Rao Duvvuri, in a “Lessons Learned” interview with YPFS, described the moratorium as a “short fix, but a necessary imperative in some circumstances,” when a bank fails or is under pressure. Duvvuri pointed to the usual goals of a moratorium: to acquire time to formulate and implement a resolution plan for the distressed bank. He noted that a moratorium has the positive effects of limiting potential financial contagion or spillover effects in the economy. The announcement of a moratorium can also have negative repercussions, by triggering concerns about the financial system and thereby accelerating the run on the concerned financial institution. Other regulators have avoided implementing a moratorium, by stepping in after markets close on Friday evening to gain the weekend to resolve the banking institution (Duvvuri 2024).

For further evaluation of the restructuring of Yes Bank, see Gupta (2024a); details of the capital injection into the bank, may be found in Gupta (2024b).

Context: India 2019–2020	
GDP (SAAR, nominal GDP in USD)	\$2.8 trillion in 2019
	\$2.7 trillion in 2020
GDP per capita (SAAR, nominal GDP in USD)	\$2,041.4 in 2019
	\$1,907.0 in 2020
Sovereign credit rating (long-term debt)	Moody's: Baa2 in 2019
	S&P: BBB-u in 2019
	Fitch: BBB-u in 2019
	Moody's: Baa3 in 2020
	S&P: BBB-u in 2020
	Fitch: BBB-u in 2020
Size of banking system	\$2.0 trillion in 2019
	\$2.1 trillion in 2020
Size of banking system as a % of GDP	71% in 2019
	79.7% in 2020
Size of banking system as a % of financial system	Data not available in 2019
	Data not available in 2020
Five-bank concentration of banking system	53.8% in 2019
	51.9% in 2020
Foreign involvement in banking system	Data not available in 2019
	Data not available in 2020
Existence of deposit insurance	Yes in 2019
	Yes in 2020

Sources: Bloomberg; World Bank Deposit Insurance Dataset; World Bank Global Financial Development Database.

Key Design Decisions

- 1. Purpose: The MoF, after recommendation from the RBI, placed Yes Bank under a moratorium to keep Yes Bank open, with restricted banking functions and withdrawal limits, while arresting liquidity outflows, to give the RBI time to formulate a restructuring plan. The moratorium period ended after two weeks with Yes Bank being subject to a restructuring plan.**

In early March 2020, Yes Bank had a declining financial position due to an inability to raise capital independently, and an outflow of liquidity through deposit withdrawals and increasing credit losses on its nonperforming loan portfolio (RBI 2020c). Yes Bank had a cash outflow of INR 85 billion as a prepayment by February 29, 2020, which was the final trigger to prompt the RBI to draft a rescue plan (YESB 2020b).

On March 5, 2020, the RBI recommended that the government of India place Yes Bank under a moratorium,⁵ starting at 6pm that day, until April 3, 2020, “in the absence of a credible revival plan, and in public interest and the interest of the bank’s depositors” (MoF 2020a; RBI 2020c). The moratorium kept Yes Bank open, but restricted its operations, while the RBI secured the management and formulated a restructuring plan (MoF 2020b). During the moratorium, actions against the bank were stayed, its operations restricted, and depositor withdrawals were, with few exceptions, limited to INR 50,000 per depositor (MoF 2020a). Yes Bank was allowed to continue to utilize its account at the RBI, pay loans granted against government debt to any bank, and release securities that may have been pledged, mortgaged, or rehypothecated. By recommending a moratorium for Yes bank, the RBI choose not to recommend a winding down, which it also had the authority to do per Section 38 of the Banking Regulation Act, 1949 (BRA) (MoF 2020b). On March 13, 2020, the MoF presented a restructuring plan for Yes Bank under subsection (4) and subsection (7) of section 45 of the BRA (MoF 2020b).

Rajnish Kumar, SBI’s former chair, stated in his memoir that, “the failure of Yes Bank would definitely pose a significant threat to the franchise of private banks in the country, particularly the smaller banks” (Kumar 2021, 15). Kumar states that the RBI was negotiating with domestic and foreign investors to provide capital to Yes Bank after submitting a draft rescue plan on March 5, 2020. SBI was initially proposed as the sole investor in the capital injection but could only provide equity capital by March 19. Kumar also highlighted SBI’s concerns of “real risk of a run on Yes Bank” after the moratorium would be lifted. Finally, the RBI agreed to provide capital to Yes Bank through a consortium of banks led by SBI by March

⁵ A moratorium was designed to provide a corporate debtor some breathing space, while the new management can take over and recover the debtor from financial sickness (Panday 2023). The term has been used increasingly since the adoption of the Insolvency and Bankruptcy Code, 2016 (IBC). Matters that require a moratorium are provided in Section 14 of the IBC. A moratorium is a period where no judicial proceedings can be filed against the debtor during the specified period (IBC Laws 2023) (see Key Design Decision No. 3, Legal Authority).

13, 2020. Kumar indicated a 49.9% limitation of public ownership in Yes Bank after the capital infusion (Kumar 2021).

On March 5, the RBI proposed a draft restructuring plan for Yes Bank, which was approved (in substantially the same form) by the MoF on March 13. As per the MoF's final restructuring plan, the moratorium period (and depositor withdrawal limits) ended at 6pm on March 18, 2020 (MoF 2020b). See Key Design Decision No. 2, Part of a Package, for further discussion of the restructuring plan.

Former RBI Governor Duvvuri said in a 2011 speech at the Bank of International Settlements that a bank is placed in a moratorium if the weakness in the bank persists, its net worth (equity capital) is negative, and there is no credible action plan. Governor Duvvuri stated that the purpose of the moratorium was to prevent a run on the bank, avoid asset fire sales, and provide time to the regulators to find a suitable bank for an acquisition. He said the merger process for the failing bank should be expedited and done in a transparent manner (Duvvuri 2011).

2. Part of a Package: The MoF announced the final restructuring plan, after recommendations from the RBI. As part of the final restructuring plan, Yes Bank received an ad hoc capital injection of INR 100 billion, imposed losses on AT1 bondholders of INR 84 billion, and received ad hoc emergency liquidity of INR 600 billion. The RBI also increased the deposit insurance limit to INR 500,000 in February 2020, just before the rescue of Yes Bank.

The RBI announced a capital injection of INR 100 billion into Yes Bank led by a consortium of eight Indian public and private banks (For details, see Gupta [2024a])(MoF 2020a; RBI 2020c; YESB 2021). All new and existing investors (with more than 100 shares) in Yes Bank were required to maintain 75% of their shareholding for three years from the date of the restructuring plan. Any capital gains tax with respect to the investment in Yes bank was waived for the private banks in the consortium. (MoF 2020b).

As per the final restructuring scheme by the MoF on March 13, 2020, Yes Bank was to issue 10 billion equity shares at INR 10 per share (face value of INR 2 per share) (YESB 2021). RBI did not provide any funding directly for the resolution plan. There was also reluctance to raise capital from domestic individual investors due to potential allegations of profiteering from the rescue operations. The requirement of a three-year lock-in period was designed to prevent any allegations of abuse of the rescue plan by investors (Kumar 2021).

The RBI's rescue plan ensured the continuation of all pre-existing Yes Bank agreements, bonds, and contracts without any change (RBI 2020d). On March 14, Yes Bank took a permanent write-down of INR 84 billion in AT1 capital, as mentioned in the RBI's draft plan (YESB 2020b).

The RBI initially wanted to route its emergency liquidity support for Yes Bank through SBI. SBI's leadership rejected this plan citing the inability to "shoulder such a large responsibility" and recommended that the RBI provide direct liquidity support to Yes Bank (Kumar 2021, 14). After approval of the final rescue plan, the RBI also extended a INR 600 billion credit

line to Yes Bank to meet the needs of depositors, promising none would lose money (The Tribune 2020). Yes Bank withdrew INR 520 billion of secured borrowing under this line. (YESB 2020b). The emergency credit line to Yes Bank was linked to the bank's current account balances with the RBI and charged a higher rate of interest than the central bank's other liquidity windows. Yes Bank also agreed to utilize all its liquid assets before using the RBI's emergency liquidity line (PTI 2020a). (See Gupta [2024a] for further details on the restructuring plan.)

The RBI appointed an administrator for the reconstructed bank, whose term would end seven days after the end of the moratorium on Yes Bank. The MoF's final plan appointed a new board to the reconstructed Yes Bank comprising four members, with the former CFO of SBI (lead investor bank) as the CEO and former nonexecutive chairman of Punjab National Bank (leading public-sector bank) as the nonexecutive chairman. The reconstructed board was to remain in place for one year or until an alternate board was constructed according to the articles of association of Yes Bank (MoF 2020b).

The RBI had raised the deposit insurance limit provided by the Deposit Insurance and Credit Guarantee Corporate (DICGC, subsidiary of RBI) from INR 100,000 to INR 500,000 per depositor in February 2020 across all banks. There was no explicit reference to Yes Bank in these disclosures (Dubey 2020; RBI 2020g).

In late March 2020, the RBI reduced its benchmark rates by 75 basis points (bps) for the entire banking system and the government of India announced a fiscal package of INR 1.7 trillion comprising cash transfers and food security as a response to the COVID-19 pandemic (PTI 2020b).

3. Legal Authority: The MoF and RBI acted pursuant to the BRA to order the moratorium, appoint an administrator, and adopt a reconstruction plan for Yes Bank.

The RBI is constituted by the Reserve Bank of India Act, 1934 (RBI Act) (RBI 2020a). Yes Bank is a banking company governed by the BRA (YESB 2023a). The RBI provided the emergency liquidity of INR 600 billion to Yes Bank as per section 17(4) of the RBI Act (PTI 2020a).

There was no new legislation passed to facilitate the imposition of the moratorium. The RBI made an application to the MoF to place Yes Bank under a moratorium as per subsection (1) of section 45 of the BRA (10 of 1949) and on March 5, India's MoF confirmed the order as per subsection (2) (GoI 1949; MoF 2020a; RBI 2020a; RBI 2020h). A moratorium in India is similar to receivership in the United States, in that the troubled financial institution is protected to maximize value of the assets of the institution in an orderly manner.

Section 45 of the BRA allows the government of India to consider an application by the RBI to suspend the business of a bank and place the bank in moratorium, thereby putting a hold on "the commencement or continuance of all actions and proceedings" against the company for a fixed period of time, not exceeding six months. During the moratorium, except as specified by the government in the Order of Moratorium, the bank may not "make any

payment to any depositors or discharge any liabilities or obligations to any other creditors.” India’s MoF initially granted a moratorium to Yes Bank, as per the RBI’s request, for a period of 30 days from March 5 to April 3, 2020 (inclusive) (MoF 2020a). (For details on the Legal Authority for Yes Bank’s resolution, see Key Design Decision No. 3, Legal Authority, in Gupta [2024a] and Gupta [2024b].)

On March 13, the Ministry of Finance announced approval of a final reconstruction scheme for Yes Bank (recommended by the RBI) and an end to the moratorium in three working days (at 6pm on March 18, 2020) (MoF 2020b).

The term “moratorium” has been used increasingly since the adoption of the Insolvency and Bankruptcy Code (IBC) in 2016. Matters that require a moratorium are provided in Section 14 of the IBC (IBC Laws 2023).

The moratorium refers to a period during which judicial proceedings, sales of assets, or termination of essential contracts may not be initiated against an institution (IBC Laws 2023). India’s judicial courts have stated that the imposition of a moratorium is to protect the debtor, in an attempt to preserve and maximize the values of its assets (Jha and Chawla 2023). The regulating authority can impose a moratorium as per section 13(1)(a) of the IBC (IBC Laws 2023).

A published interpretation by India’s Insolvency Law Committee clarified the following in February 2020:

The idea of a moratorium is that it facilitates the continued operation of the business of the corporate debtor to allow it breathing space to organize its affairs so that a new management may ultimately take over and bring the corporate debtor out of financial sickness, this benefiting all stakeholders, which would include workmen of the corporate debtor (Panday 2023).

As part of the final restructuring plan, the MoF agreed to exempt the investors who injected new capital into Yes Bank from capital gains taxes on any profits resulting from this participation period under Income-tax Act, 1961 (43 of 1961) (MoF 2020b). The Central Board of Direct Taxes had to amend rules in the Finance Act 2019 to allow this exemption (Dhasmana 2020).

On July 26, 2020, the Ministry of Law and Justice (legislative department) disclosed a list of amendments to the BRA following an ordinance by the president of India, as per powers under clause (1) of Article 123 of the Constitution of India. The bill to amend the BRA had been initially presented to the Lok Sabha (House of the People) on March 3, 2020 (GoI 2020).

4. Administration: India’s Ministry of Finance released the directive to place Yes Bank under a moratorium, after recommendation from the RBI.

On March 5, 2020, the MoF granted the Order of Moratorium as recommended by the RBI for a period ending on April 3, 2020 (MoF 2020a). The order outlined the terms of the

moratorium which were augmented by a directive issued by the RBI (MoF 2020a; RBI 2020d).

The RBI directed Yes Bank to not grant any new loan, make any new investment, incur any liability or expense without special permission from the chief general manager in the Department of Regulation at the RBI (RBI 2020h). The RBI's directives were provided under section 35A of the BRA (RBI 2020c; RBI 2020h).

On March 6, the RBI proposed a draft restructuring plan, which the MoF approved on March 13, providing that the moratorium would terminate on March 18, 2020. The MoF's plan provided certain terms applicable to Yes Bank regarding a new capital structure, new investment by SBI and a private consortium of investors, composition of the board of directors, status of the reconstructed bank vis-à-vis its creditors and counterparties, employees, branches, and furnishing certain statements to the RBI. Any questions regarding interpretation of the plan were to be referred to and resolved by the RBI (MoF 2020b).

Former RBI Governor Duvvuri has discussed how the RBI is responsible for maintaining the financial safety net, while the Deposit Insurance and DICGC's role (as a subsidiary of the RBI) is largely to protect small depositors. The DICGC also has a role to play in some resolutions, to compensate some depositors since the acquiring bank cannot meet this liability (Duvvuri 2011).

5. Governance: The moratorium and the resolution actions were recommended by the RBI and approved by the MoF. Yes Bank was to be governed by an interim administrator and a reconstituted board until a new board was independently formed by the bank.

On March 5, 2020, the MoF placed Yes Bank under a moratorium, after recommendation from the RBI, to address the bank's regular outflow of liquidity, with the inability to raise capital amid serious governance issues. The RBI had been engaged with the bank in the months prior to the announcements to help strengthen the bank's balance sheet and liquidity. The RBI declared in the moratorium announcement that it was formulating a restructuring plan for Yes Bank, which would be implemented before the end of the moratorium period, within 30 days, after approval from the government of India (RBI 2020c).

On March 6, the RBI authored and disclosed a draft resolution plan for Yes Bank, which was accepting comments until March 9, 2020 (RBI 2020d). The RBI was to appoint an administrator for the reconstructed bank, who was to leave their office within seven days of the end of the moratorium period. The MoF appointed a new board to the reconstructed Yes Bank as part of a restructuring plan. This board of directors would continue in office for one year, or until a new board was formed as per Yes Bank's articles of association (MoF 2020b). Yes Bank's final rescue plan was approved by the government of India's Cabinet of Ministers on March 14 (ET 2020).

Yes Bank was required to submit filings to the RBI periodically to report on the implementation of the restructuring plan. Any concerns regarding the execution of the plan were to be directed to the RBI, and the central bank had final say on the matter (RBI 2020d).

Yes Bank successfully formed an alternate board after restructuring on July 15, 2022 as per clause 5(7) of the RBI's plan (YESB 2023a).

Resolutions are managed by the regulator and supervisor in India, with the deposit authority taking the role of a special vehicle to compensate certain depositors (Duvvuri 2011).

6. Communication and Disclosure: Yes Bank's moratorium was communicated through press releases and media interviews by the RBI governor and the interim administrator of Yes Bank. The focus was to communicate that the MoF and RBI were concerned for the depositors and shareholders and focusing on the reconstruction so the moratorium could be lifted.

Yes Bank's restructuring plan was announced by an "extraordinary notification" in the Official Gazette by the Banking Division of the MoF on March 5, 2020 (MoF 2020a). On the same day, the RBI issued two separate press releases announcing that MoF had placed Yes Bank in moratorium, superseded its board, and appointed an interim administrator (RBI 2020b; RBI 2020c). On March 6, the RBI disclosed a draft plan with details of the restructurings and allowed three days to accept comments (RBI 2020d). The RBI's draft plan mentioned only SBI as willing to participate in Yes Bank's restructuring (RBI 2020a).

The RBI Governor Shaktikanta Das stated on March 3, 2020, just prior to Yes Bank's rescue, that the RBI was committed to banking sector stability and would "never allow a major bank to you know . . . (fail)" (RBI 2020f). On March 6, while presenting the RBI's draft plan, Governor Das stressed that all "depositors' interests will be fully protected" (Ghosh 2020). Governor Das reassured markets that 30 days was the outer limit for the moratorium, and that the RBI should have a rescue plan in place swiftly (Ghosh 2020). On March 13, the MoF announced the final restructuring plan, and provided that the moratorium would end three business days later, thereby limiting the total duration to less than two weeks. The final restructuring plan included the mention of other (unnamed) investors, apart from SBI, that were willing to provide an equity investment in Yes Bank (MoF 2020b).

Das also stated the RBI's preference for a "market-based resolution" or an "investor-based resolution" for Yes Bank. In terms of timing, the RBI intervened once it had determined that it "cannot and should not wait any longer." The government of India's chief economic adviser, K. Subramanian, also declared that a moratorium was the best solution for Yes Bank (Ghosh 2020).

Immediately after the moratorium announcement, depositors of Yes Bank began to report their concerns with the proposed withdrawal limits. Some depositors expressed concerns that the INR 50,000 limit would not be adequate to cover necessary monthly expenses, such as rent and school fees, and reported that they were unable to access ATMs or digital banking services. Depositors were reported to have multiple accounts at Yes Bank, with cumulative balances (including fixed and time deposits) above the deposit insurance limit of INR 500,000 (Mint 2020a).

On March 6, Prashant Kumar, the interim administrator of Yes Bank, stated in a press release:

The current moratorium has been brought into effect keeping the depositors' interest in mind and towards restoring their confidence. A solution is being worked upon to revive the Bank well before the moratorium period of thirty days ends. The Bank is also taking necessary steps to ensure seamless transactions for the customers. We assure the depositors that their money is safe and there is absolutely no reason for panic. Look forward to continued support from the depositors. (YESB 2020a)

On March 8, the RBI wrote on Twitter (now X) that the media concern about the safety of deposits at banks is based on a flawed analysis, which focused on market capitalizations of some banks rather than the internationally recognized capital-to-risk-weighted-assets ratio (RBI 2020e). The RBI reiterated that it was closely monitoring all banks and assured all depositors that there was no concern in any bank with the safety of deposits (NDTV Profit 2020).

On March 9, Kumar stated that the moratorium could be lifted earlier than expected, and that Yes Bank's deposits were "absolutely safe" with no liquidity issues, with additional "lines of comfort" from the RBI and SBI (NDTV Profit 2020).

On March 17, Kumar wrote a letter to the depositors, stressing that Yes Bank's "ATMs are full of cash," and that the bank will provide a full suite of services to customers starting 6pm on March 18 (see Appendix B) (Business Today 2020c). Kumar also noted separately that 30% of eligible depositors had withdrawn money to the maximum limit. After being asked about a forensic audit of Yes Bank, SBI Chairman Rajnish Kumar added that there was nothing wrong with Yes Bank's books, with the latest financial results providing a full disclosure of the NPLs and adequate provisioning (Nair 2020).

In a speech in July 2020, Governor Das declared that the successful resolution of Yes Bank helped ensure the stability of the financial system and safeguarded the interests of depositors. The RBI sought out partnerships with India's leading financial institutions (both public and private) in the capital injection, while quickly implementing the rescue plan, which helped Yes Bank's revival (Das 2020).

7. Details of Holidays, Suspensions, or Gates: The moratorium stayed actions against RBI, imposed restrictions on Yes Bank's operations and withdrawal limits of INR 50,000 per depositor for an initial period of 30 days, but was ended after two weeks.

India's MoF, after a recommendation from the RBI, imposed a moratorium on Yes Bank for a 30-day period during which all actions against the bank were stayed, and its operations were restricted to only those permitted by directives issued by the MoF and RBI. The MoF's draft plan restricted Yes Bank to provide payments to any new depositor over INR 50,000 during the moratorium and seek written permission from the RBI for any payout exceeding the same amount. Yes Bank was allowed to continue to make payments that were unpaid as of the date of the moratorium announcement, especially for the amounts that were backed by government securities. The MoF also allowed Yes Bank to continue to deliver securities that

may have been pledged, hypothecated, or mortgaged. The RBI was allowed to make exceptions to the withdrawal limits that would have permitted withdrawals greater than INR 50,000 for depositors in the case of:

- Medical treatment;
- Higher education;
- Marriage;
- Any other “unavoidable emergency.”

The maximum allowed exception to withdrawal limits would be the lesser of either the depositor’s account balance or INR 500,000 (MoF 2020a).

During the moratorium, the RBI directed Yes Bank to not grant any new loan, make any new investment, incur any liability or expense without special permission from the chief general manager in the Department of Regulation at the RBI (RBI 2020h). (For details, see Key Design Decision No. 1, Purpose in Gupta [2024b].)

Immediately after the moratorium announcement on March 5, users of PhonePe (a leading instant payments provider with 100 million merchants, 200 million users, and 300 million locations) experienced service outages for 24 hours (Bhakta 2020; PYMNTS 2020). PhonePe wrote on Twitter (now X) account that they were experiencing an “unscheduled maintenance activity” and apologized for the incident (OpIndia Staff 2020). GooglePay (leader in instant payments) turned off the “check account balance” feature during PhonePe’s outage (PYMNTS 2020). BharatPe, another payments provider, which deploys QR codes for small merchant outlets, also ceased to function (Bhakta 2020).

On March 6, PhonePe reported a return of functionality of all merchant payment settlements by noon and of all consumer wallet, and credit and debit card payments by 3pm (PYMNTS 2020). On the same day, the National Payments Corporation of India (NPCI)⁶ also suspended the use of Yes Bank’s credit cards, debit cards, and point-of-sale payment terminals (NDTV Profit 2020).

Yes Bank reported the restoration of its cards and ATMs on Saturday, March 7 (NDTV Profit 2020). Despite the restoration of payment services over the weekend of March 7–8, certain businesses, such as gas stations, rejected any instant payments associated with the Unified

⁶ NPCI was setup in an initiative by the RBI and the Indian Banks’ Association (IBA) under the Payment and Settlement Act, 2007 to create the infrastructure for the entire banking system in India, including electronic payments and settlement. The 10 core banks with an ownership in NPCI are SBI, PNB, Canara Bank, Bank of Baroda, Union Bank of India, Bank of India, ICICI Bank, HDFC Bank, Citibank, and HSBC. Over the years, the NPCI’s shareholding has been broadened by the issuance of privately placed equity shares to include 56 member banks and other new entities regulated by the RBI such as payment service operators, payments banks, and small finance banks (NPCI n.d.).

Payments Interface (UPI)⁷ from a range of service providers, including GooglePay, PhonePe, and Paytm (PYMNTS 2020). Most of the transactions associated with Yes Bank's digital payments operations originated from PhonePe. Before its restructuring, Yes Bank was the leader in the UPI space with a record of 573 million digital transactions in one month (Rawat 2020).⁸

Yes Bank accounted for 40% of the UPI's market share and was assisted by NPCI in re-directing all digital payment flows to ICICI Bank during the moratorium period. This helped stave off a potential crisis with the digital payments system as a result of Yes Bank's rescue (Bhakta 2020).

On Sunday, March 8, Yes Bank released a list of frequently asked questions (FAQ) to help customers better understand the impact of the moratorium. The FAQ clarified that:

- ATMs were functioning and provided a digital tool to help locate one close to the depositor;
- The withdrawal limit of INR 50,000 was applicable at the "customer ID level";
- The withdrawal limit applied to joint accounts or dependents;
- Online wire transfers via RTGS or NEFT⁹ were suspended;
- Clearing activities for Yes Bank's checks and direct deposits were suspended;
- Locker facilities could be accessed and operated.

By Tuesday, March 10, Yes Bank had restored the ability to accept inward banking transactions (such as NEFT) towards credit card dues or loan payments from other bank accounts (NDTV Profit 2020).

The MoF's final plan on March 13 allowed Yes Bank to continue to repay loans and advances from other banks during the moratorium period. The MoF allowed Yes Bank to continue to operate its account at the RBI during the moratorium and continue to release securities that may have previously been pledged, hypothecated, or mortgaged. The final plan stated that all of Yes Bank's deposits and liabilities would be unaffected by the reconstruction plan, unless explicitly stated (MoF 2020b).

⁷ UPI is an instant real-time payment system developed by the NPCI to facilitate interbank transactions; the system is regulated by the RBI (PYMNTS 2020). UPI has been attributed with ensuring that every Indian bank account holder can participate in digital payments, independent of their bank's digital capabilities (Rawat 2020).

⁸ After the moratorium ended, SBI took Yes Bank's leadership role in facilitating the highest number of UPI transactions at 300 million to 350 million per month (Rawat 2020).

⁹ The RBI maintains two systems of interbank transfer in India: RTGS (Real-Time Gross Settlement) and NEFT (National Electronic Fund Transfer) (SBI 2024).

On Monday, March 16, Yes Bank announced that it would resume full banking services, including digital platforms, from 6pm on Wednesday, March 18, after the moratorium was lifted. Yes Bank further stated that outwards payments (NEFT and RTGS) would also be resumed, along with the ability to use Yes Bank credit cards on digital payment applications. However, Yes Bank was unable to clear checks, since the RBI had still suspended the bank's clearing activities (NH Web Desk 2020).

As per the MoF's final restructuring plan, the moratorium period ended at 6pm on March 18, 2020 (MoF 2020b).

8. Treatment of Depositors or Investors: Yes Bank's depositors were not subject to any losses, but faced withdrawal limits for two weeks. Yes Bank's AT1 bondholders were fully bailed-in according to the RBI's plan.

Depositors of Yes Bank did not experience any losses and only were subject to withdrawal limits of INR 50,000 per depositor during the moratorium period; these restrictions expired with the termination of the moratorium after approval of the rescue plan (RBI 2020d). There were no other associated restrictions (dividend or compensation) after the capital infusion as disclosed by the RBI's restructuring plan.

The RBI's directive as per Section 35A of the BRA provided for exceptions to incur expenses during the moratorium for:

- Payment of employee salaries;
- Rent and taxes;
- Office supplies;
- Postage;
- Legal expenses (not exceeding INR 50,000).

The total expenses permissible by the RBI were not to exceed the average expenditure on the line item for the six months preceding the moratorium announcement. If no expenditure had been incurred previously, then the total permissible payout was capped at INR 50,000 (RBI 2020h).

The RBI's draft plan on March 6, 2020, required the permanent write-down of the AT1 capital issued by Yes Bank in 2016 and 2017 (RBI 2020d). On March 14, 2020, Yes Bank was following legal advice and had fully written down AT1 bonds worth INR 84 billion (YESB 2020b).

The MoF's final restructuring plan for YES bank anticipated that no branches would be closed and all of Yes Bank's branches would continue to operate in an unchanged manner during the moratorium period (MoF 2020b).

The MoF also directed Yes Bank to provide financial statements and information to the RBI from “time to time.” The MoF also stated that any concerns arising from the interpretation of the final restructuring plan should be directed to the RBI, with the RBI’s views as final and binding on the topic (MoF 2020b).

After the announcement of the final rescue plan, despite the lack of retail depositor panic, some state governments began to advise their departments to shift funds away from private sector banks to public sector banks. The RBI wrote to the chief secretaries of states to warn that such a concern over deposits in private sector banks was “highly misplaced” and could have destabilizing effects on the banking and financial system (Ramchandani and Jethwani 2021).

In his memoir, former SBI Chairman Rajnish Kumar points out that following the end of the moratorium, corporates and state governments withdrew bulk deposits from Yes Bank. The exact extent of the bulk deposit flight is not clear, but Kumar asserts that the RBI’s special liquidity facility of INR 500 billion was essential to Yes Bank’s survival through that period (Kumar 2021, 20).

On March 17, 2020, the RBI announced that all banks shall not make any dividend payments for the financial year ending in March 2020 until further instructions from the RBI, and to conserve capital due to the uncertainty from the COVID-19 pandemic (YESB 2020b).

On March 24, 2020, India’s 1.3 billion people started 21 days of lockdown to stop the spread of COVID-19. India’s Home Ministry issued a statement declaring certain exemptions for essential services, such as banks, gas stations, and food shops, to remain open (Schultz and Gettleman 2020).

9. Verification of Solvency: There was no explicit valuation report to confirm the solvency of Yes Bank after the moratorium was implemented.

Yes Bank was functioning on a going-concern basis after breaching the RBI’s CET1 requirements at the end of December 2019. Yes Bank reported breaching the regulator LCR, as deposits dropped from INR 2.1 trillion in September 2019, to INR 1.6 trillion in December 2019, and to INR 1.1 trillion by March 31, 2020. Yes Bank’s deposit base bottomed at INR 1.0 trillion as of May 2, 2020 (see Figure 3) (YESB 2021).

Yes Bank was determined to be unviable as a result of the RBI’s rescue plan in early March 2020. Yes Bank’s newly constructed board of directors made an assessment on Yes Bank’s ability to continue functioning on a going concern basis for three years, given the announced equity capital infusion by the RBI’s plan (YESB 2021).

By March 6, 2020, Yes Bank’s equity share price had declined 96% and reached an all-time low of INR 5.65 per share after the announcement of the RBI’s plan (Business Today 2020a). The RBI’s plan provided a capital infusion to Yes Bank at INR 10 per share (MoF 2020b). The announcement of the early termination of the moratorium on March 16, led to a 50% rise in the share price of Yes Bank on March 18 (Moneycontrol News 2020) (see Key Design Decision No.6, Communication and Disclosure, for details on the public statements during

the end of the moratorium). Yes Bank's deposits continued to decline until early May 2020, while the equity share price consistently maintained a 150% premium to the capital infusion on March 14, 2020.

There was no valuation or solvency report disclosed by the RBI or by Yes Bank, before the moratorium was lifted on March 18.

Figure 3: Yes Bank: Deposits and Liquidity Coverage Ratio

Date (as of)	Deposits (in INR trillion)	LCR (in %)
September 30, 2019	2.1	114%
December 31, 2019	1.6	74%
March 31, 2020	1.1	40%
May 2, 2020	1.0	35%

Note: Regulatory LCR requirement of 100% (80% in May 2020).

Sources: YESB 2020b; YESB 2021.

10. Other Conditions: The RBI replaced the board of directors of Yes Bank during the moratorium period, and the MoF's final plan appointed an interim administrator.

The RBI replaced the board of directors of Yes Bank on March 5 under 36ACA of the BRA to restore the faith of depositors while a restructuring plan was being formulated (RBI 2020b). The RBI provided additional direction to Yes Bank to limit business activity in interest of the depositors under 35A of the BRA (RBI 2020a). The RBI could appoint additional directors to the restructured entity under subsection 1 of section 36AB of the BRA (RBI 2020d).

On March 13, as part of the MoF's final plan, the RBI appointed a new board to the reconstructed Yes Bank comprising four members, with the former CFO of the SBI (lead investor bank) as the CEO and the former nonexecutive chairman of Punjab National Bank (leading public-sector bank) as the nonexecutive chairman. The reconstructed board was to remain in place for one year or until an alternate board was constructed, pursuant to the articles of association of Yes Bank (MoF 2020b). On March 26, 2020, eight individuals were appointed to form the board of directors of the reconstructed Yes Bank (YESB 2020b). (For details see Key Design Decision No. 5, Governance, in Gupta [2024b].).

Rana Kapoor, the founder of Yes Bank, was arrested in March 2020 by the Enforcement Directorate (ED), a federal law enforcement body for economic and foreign exchange related crimes and subsidiary of the MoF, for allegations of money laundering of INR 50 billion (Jagannath 2020; Samervel 2023). In July 2020, the ED froze assets of Kapoor worth INR 14 billion, including luxury cars and properties across India, Australia, the United Kingdom, and the US (Jagannath 2020).

The ED case against Kapoor began in November 2022, charging him under sections 44 and 45 of the Prevention of Money Laundering Act, 2002. Kapoor is being charged separately by the Central Bureau of Investigation (CBI) for INR 6 billion of alleged fraudulent transfers to

a nonbank (DHC 2022). As of December 2023, Kapoor was granted bail by a special court in Mumbai in relation to the ED money laundering charges but remained in custody pending the CBI investigation (Samervel 2023).

11. Exit Strategy: The MoF ended the moratorium earlier than expected on March 18. Yes Bank was able to return to the markets to raise capital independently and received credit ratings upgrades in the second half of 2020. Yes Bank's deposits rebounded to INR 2.2 trillion as of 2023.

The MoF's draft plan had stated that the moratorium would end after 30 days on April 3 (MoF 2020a). The MoF's final plan ended the moratorium in 13 days by 6pm on March 18, 2020 (MoF 2020b). Yes Bank would begin to offer its "full suite of services" across all its 1,132 branches that evening (Moneycontrol News 2020).

On July 23, 2020, Yes Bank successfully raised INR 148.7 billion from private investors through an FPO that was not a part of the RBI's rescue plan (Mint 2020b; YESB 2021). In August 2020, Moody's upgraded Yes Bank's long term credit rating to B3 with a stable outlook (YESB 2023b). In March 2021, Yes Bank Chairman Sunil Mehta reported that the bank's CET1 ratio had improved from 6.3% in 2020 to 11.2% in 2021 (YESB 2021).

In March 2022, Yes Bank reported a successful return to full-year profitability for the first time since the restructuring plan in March 2020 (YESB 2022). In July 2022, J.C. Flowers, a private equity firm, agreed to purchase a stressed loan pool from Yes Bank for INR 480 billion (USD 6.3 billion) (MC 2022).

As of March 13, 2023, the lock-in period for investors in Yes Bank had ended, with those participating in the rescue plan securing 70% returns on market prices. The RBI has asked private investors to sell their stakes gradually to avoid destabilizing the bank (Gopakumar 2023). As of March 31, 2023, Yes Bank's CET1 ratio has improved to 13.3% from 6.3% in 2020 (see Figure 1) (SBI 2022; YESB 2023b).

12. Regulatory Changes: The RBI announced changes to the deposit insurance, auditing, and supervision regimes for both banks and nonbanks in India since Yes Bank's rescue.

In August 2021, India's Parliament passed an amendment to the DICGC bill, which ensured the payment of the new insurance amount of INR 500,000 within 90 days of any bank being placed in a moratorium. This is in sharp contrast to the eight to 10 years of average settlement period for depositors of stressed cooperative banks in India. Finance Minister Nirmala Sitharaman stated that this legislative change will benefit small depositors (PTI 2021).

The RBI has also updated its guidelines for auditor selection and tenure for banks in India since Yes Bank's rescue. The RBI reduced the minimum tenure to change auditors to three years, and also introduced restrictions on the ability to audit multiple entities within the same or related corporate groups (Dethe 2023).

The RBI is adopting a technology- and data-first approach to bank supervision to quicken the feedback and supervision process of banks and nonbanks. The RBI's legacy system of data collection, the Off-Site Monitoring and Supervision System (OSMOS), has lags because of data inefficiencies which extends the supervisory process to almost nine months. The RBI has been considering implementing integrated service platforms to get near real-time reporting from regulated banks and nonbanks (Bansal 2020).

The RBI recently shortened the timeline for regulated entities to submit audited financials to the regulator after the auditor's approval (Nayak, Bhat, and Goswami 2024).

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Appendixes

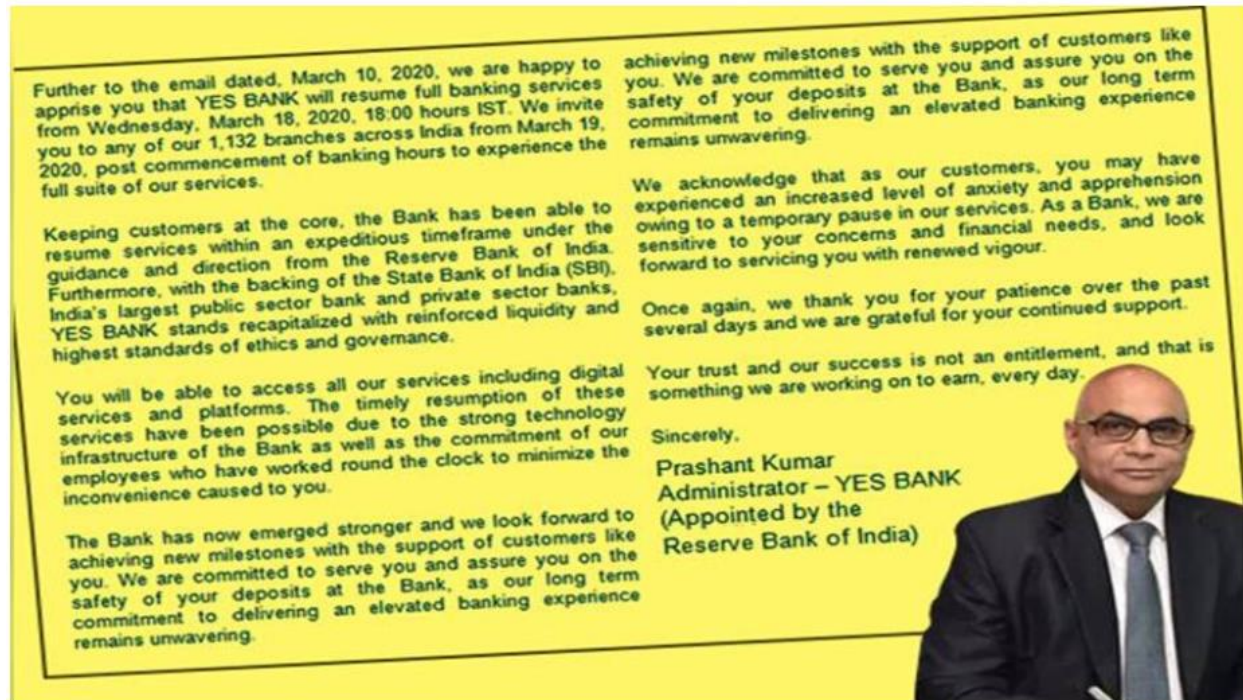
Appendix A: Timeline for Yes Bank Rescue

Date	Event
2004	RBI provides approval to commence banking operations to the founders of Yes Bank, who had successful retail banking careers at foreign banks (Bank of America and ABN AMRO)
2008	Yes Bank receives award for No. 1 banking franchise in India in the Business Today-KPMG Best Banks Annual Survey
2015	UBS brokerage report on Yes Bank citing concerns about corporate loan exposure
2017	Kotak Mahindra Bank issues brokerage report on Yes Bank citing divergence from the RBI's bad asset recognition guidance
2018	RBI raises concerns of corporate governance at Yes Bank
2018	Yes Bank has deposits of INR 2 trillion (USD 30 billion) and 21,000 employees
August 2018	Yes Bank's share price reaches all-time high of INR 400 per share; Yes Bank becomes fourth-largest private bank in India
December 2018	Yes Bank's share price falls by 50% on concerns of exposures to troubled nonbank financial institutions
January 2019	RBI refuses to extend the tenure of Yes Bank founder as CEO, citing concerns of corporate governance and inadequate reporting of bad assets
March 2019	RBI appoints a former Deutsche Bank banker as the new CEO of Yes Bank
May 2019	RBI appoints a former RBI deputy governor to the board of Yes Bank, following a significant increase in loan-loss provisioning and a credit ratings downgrade of the bank's long-term debt
October 2019	Yes Bank enters negotiations with foreign investors to raise equity capital, with concerns of the bank's stressed loan book
March 2020	Yes Bank's deposits decrease 54% since the last year to INR 1.1 trillion
March 3, 2020	RBI Governor Das commits to banking sector stability
March 5, 2020	RBI identifies Yes Bank for a draft rescue and capital infusion plan, because of regular outflow of liquidity and inability to present a credible revival plan. The RBI removes the existing board of Yes Bank, appoints an interim board, and limits depositor withdrawals to INR 50,000 per depositor for 30 days
March 6, 2020	Yes Bank's share price falls to all-time low of INR 5 per share and closes at INR 16 per share after the announcement of RBI's rescue plan
March 13, 2020	The MoF, along with the RBI, submits a final resolution plan for Yes Bank including SBI as the lead investor at INR 10 per share

March 14, 2020	A consortium of eight banks (SBI, HDFC, ICICI Bank, Axis Bank, Kotak Mahindra Bank, Bandhan Bank, Federal Bank, IDFC Bank) commits to a capital infusion of INR 100 billion into Yes Bank
March 18, 2020	The MoF lifts the moratorium on depositor withdrawals at Yes Bank.
March 2020	RBI provides a INR 600 billion special liquidity facility to Yes Bank
July 2020	Yes Bank conducts a successful capital raise via an FPO for INR 150 billion, improving its CET1 ratio to 13.4% from 6.6% at the end of June 2020
August 2020	Moody's upgrades Yes Bank's credit rating to B3 from Caa1 with outlook stable
September 2020	Yes Bank repays the RBI's special liquidity facility in full for INR 500 billion
March 2021	In fiscal year 2021, Yes Bank accelerates provisioning for incremental slippages in its legacy stressed asset portfolio, reports a full-year loss, and has a CET1 ratio of 11.2%
November 2021	Moody's upgrades Yes Bank's credit rating to B2 from B3 with positive outlook
March 2022	Yes Bank returns to profitability after two years, with assets of INR 3 trillion and gross NPLs improving to 13.9% versus 15.4% in the year earlier
March 2022	Yes Bank's deposit base grows 21% annually to INR 2 trillion, with CET1 ratio of 11.6%
July 2022	Yes Bank sells pool of stressed assets to private equity firm J.C. Flowers for INR 480 billion
July 2022	Yes Bank sells 10% equity stake to private equity firms Carlyle and Advent for INR 89 billion
November 2022	Moody's upgrades Yes Bank's credit rating to Ba3 with a stable outlook
March 2023	The lock-in period for Yes Bank investors ended, with the eight financial institutions recording a 70% return on investment in three years since the capital infusion. RBI asked banks to sell their stake down gradually to maintain stability in Yes Bank
June 2023	Yes Bank reports growth in deposit base to INR 2.2 trillion, assets to INR 3.5 trillion, CET1 ratio to 13.3%, and gross NPLs of 2.2%
May 2025	Yes Bank's board approves the sale of a 13.2% stake from SBI and a combined 6.8% stake from the other seven private banks in the consortium to Japan's SMBC for INR 21.5 per share

Sources: Bhaskar 2018; BS 2015; BT 2020; Fortune 2019; Ghosh 2020; Kotak 2017; Mint 2019; Moody's 2020; Moody's 2022; Parkin 2019a; Parkin 2019b; SBI 2025; YESB 2020b; YESB 2021; YESB 2022; YESB 2023a; YESB 2025; author's analysis.

Appendix B: Letter to Yes Bank Depositors at the end of the moratorium period



Source: *Business Today* 2020b.

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